

LATAM Airlines Group S.A.

The Southern Hemisphere's largest airline group, rebuilt on a leaner balance sheet

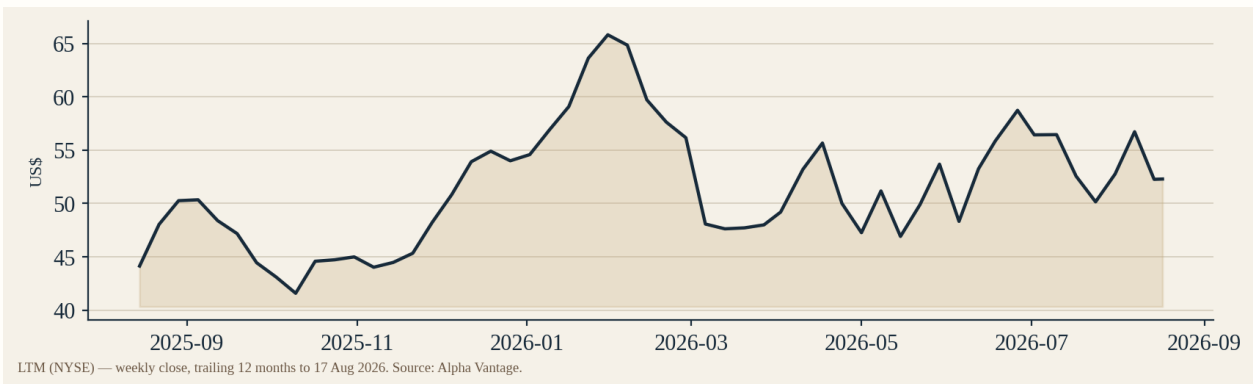
TICKER	COUNTRY	SERIES	REPORT DATE	ANALYST
NYSE: LTM	Chile	Transportation	18 August 2026	Arthur Faugeron

CLOSE, 17 AUGUST 2026 (LATEST COMPLETED SESSION)

US\$52.29

+US\$0.03 (+0.06%)

Volume 566,260 · 52-wk range US\$40.22–70.24



LTM (NYSE) — weekly close, trailing 12 months to 17 Aug 2026. Source: Alpha Vantage.

LTM (NYSE), weekly close, trailing twelve months to 17 August 2026. Chart built by the analyst from Alpha Vantage price data (source-verified, not a broker/exchange screenshot — see note below).

This session could not retrieve the company's official logo or a live exchange screenshot through the tools available (no binary-image download or connected browser). Both omissions are disclosed here rather than approximated; the company name is set in house typography and the price panel above is a sourced, analyst-built chart in their place.

Executive Summary

Business

LATAM Airlines Group S.A. is a Santiago-headquartered passenger and cargo airline holding company operating the largest network in Latin America: as of year-end 2025 it flew a fleet of 351 aircraft (294 Airbus, 57 Boeing) to roughly 160 destinations in 27 countries, and carried 87.4 million passengers and more than one million tonnes of cargo during the year. The group was built through the 2012 combination of Chile's LAN Airlines and Brazil's TAM, and today operates as a federation of national air operating certificates — in Chile, Brazil, Peru, Colombia and Ecuador — plus a cargo affiliate network, unified under one holding company, one loyalty programme (LATAM Pass, 54 million members) and one commercial brand.

Financial condition

Revenue reached US\$14,265 million in FY2025 (Alpha Vantage/S&P Global Market Intelligence-sourced financial-statement figure; management's headline "total operating revenues," which nets in other operating income, was US\$14.5 billion), up 11.2% year on year. Operating income was US\$2,336 million (16.4% margin) and net income attributable to shareholders was US\$1,460 million (10.2% margin), the third consecutive year of GAAP profitability since the group's November 2022 emergence from Chapter 11. Operating cash flow was US\$3,260 million against capital expenditure of US\$1,773 million, for free cash flow of roughly US\$1,487 million (10.4% FCF margin). Net debt, inclusive of IFRS 16 finance-lease liabilities, stood at US\$5,938 million at year-end 2025 (US\$6,374 million as of the most recent quarter, 30 June 2026), equivalent to roughly 1.8× the group's own EBITDA (management's separately defined "adjusted net leverage," built on a rent-added-back EBITDAR base, was 1.5×).

Market position

LATAM is roughly twice the size of its nearest Latin American competitor by capacity share (about 21–24% of regional international passenger traffic) and competes principally with Avianca/Abra Group (aligned with GOL), Copa Holdings, Azul and a growing set of ultra-low-cost entrants (JetSMART, Sky Airline, Viva) on domestic and intra-regional routes, and with the major U.S., European and Gulf network carriers — several of which are also its shareholders and joint-venture/codeshare partners — on long-haul international routes. Its principal advantage is network scale across five domestic home markets stitched into one hub-and-spoke system with a shared loyalty currency; its principal weakness is a cost base still exposed to jet-fuel and USD-denominated aircraft-lease costs against partly local-currency revenue, and a capital structure only recently rebuilt from negative equity.

Valuation

At the 17 August 2026 close of US\$52.29, LATAM's market capitalisation was approximately US\$15.01 billion (287.1 million shares) and enterprise value approximately US\$21.4 billion (net debt as of 30 June 2026). On trailing-twelve-month figures this implies a P/E of 9.7×, EV/EBITDA of roughly 5.8× (analyst calculation; Alpha Vantage's auto-computed EV/EBITDA of 9.4× is internally inconsistent with its own EV/Revenue figure and is not used — see Section C3), and EV/Revenue of 1.35×. On FY2025 free cash flow, P/FCF is approximately 10.1× and EV/FCF approximately

14.4×. The trailing ordinary dividend is US\$0.96/share (1.8% yield); FY2025 also saw a US\$400 million extraordinary interim dividend and US\$585 million of share buybacks, together returning roughly 6.6% of the current market capitalisation to shareholders in a single year.

Investment framework

What is attractive: a rebuilt, deleveraging balance sheet; margin expansion (adjusted operating margin +3.5pp in FY2025) even through a jet-fuel cost shock in 2026; a network scale advantage that is difficult for regional peers to replicate; and analyst consensus (Strong Buy, US\$72.94 target) implying meaningful upside that is broadly corroborated by this report's own DCF range.

What is concerning: the stock trades on a single-digit P/E typical of a cyclical, capital-intensive, historically bankruptcy-prone industry; revenue is still majority non-USD while costs (fuel, leases, aircraft) are USD-denominated; and per-share historical comparability was broken by a 2025 capital-structure transaction that cancelled roughly 30.2 billion treasury shares.

What must go right: continued fuel-cost normalisation, disciplined capacity growth against a structurally constrained global aircraft-delivery backlog (industry-wide through 2031–34), and execution of the fleet-renewal capex programme without re-leveraging the balance sheet.

What could break the thesis: a sustained jet-fuel spike, a Latin American currency/macro shock that compresses local-currency revenue against USD costs, renewed price competition from ULCC entrants, or a reversal of the 2023–2025 deleveraging trend.

What appears priced in: a market multiple well below global full-service peers, suggesting the market is pricing continued execution risk and industry cyclicity rather than the growth and margin trajectory management has now delivered for three consecutive years — see Section C3 for the expectations embedded in the current price.

<i>Business quality</i>	Moderate-to-good: dominant regional network scale, but airlines remain capital-intensive, low-margin, and cyclical by nature.
<i>Financial quality</i>	Improving: three years of positive net income and free cash flow post-bankruptcy; leverage still elevated relative to full-service global peers.
<i>Competitive position</i>	Strong within Latin America (largest network, loyalty base and cargo operation); a price-taker on long-haul routes against larger global alliances.
<i>Growth profile</i>	Above-industry-average: capacity +8.2% in FY2025, revenue CAGR of roughly 30% FY2021–FY2025 off a depressed pandemic base, normalising toward high-single digits.
<i>Balance-sheet risk</i>	Moderate: net debt/EBITDA approximately 1.8× and falling, but absolute lease-adjusted debt remains large relative to equity rebuilt only since 2023.
<i>Valuation</i>	Undemanding on trailing multiples versus both history and full-service global peers; this report's DCF range (Section C3) brackets the current price toward its lower end.
<i>Market / technical profile</i>	Beta approximately 0.89 (below market); shares are roughly 25% below their 52-week high and above both the 50- and 200-day moving averages as of the report date.

SECTION A

About the Business

A1. Business Environment

Commercial air transport sells a highly perishable, capacity-constrained service (an unsold seat has zero salvage value after departure) into demand that is cyclical, fuel-cost-sensitive and split between price-sensitive leisure/VFR (visiting-friends-and-relatives) traffic and less price-sensitive business/premium traffic. The industry's cost base is dominated by four largely non-discretionary items: jet fuel (historically 25–35% of airline operating costs, higher during 2026's fuel-price spike), aircraft ownership (purchase, financing or operating/finance lease), labour, and airport/navigation charges — all of which are wholly or partly USD- or hard-currency-denominated even for a carrier whose revenue is earned substantially in Chilean pesos, Brazilian reais, Colombian pesos, Peruvian soles and other Latin American currencies. Latin America is a structurally under-penetrated aviation market by global standards: OAG/industry data cited in the trade press put LATAM's own network at roughly 21% of regional capacity, more than double the next-largest carrier, within a market where the top ten carriers still control only around 74–89% of total seats — i.e., a still-fragmenting market relative to the near-total consolidation seen in the U.S. domestic market. Aircraft supply is presently the industry's key structural constraint: repeated engine (notably Pratt & Whitney geared-turbofan) and airframe delivery delays at both Boeing and Airbus have left a record order backlog that trade press (IATA, Aviation Week) does not expect to normalise before 2031–2034, which structurally caps industry capacity growth and is, on balance, supportive of pricing power for incumbent operators such as LATAM that already hold their fleet.

Value in the industry chain is captured disproportionately by aircraft manufacturers (Boeing/Airbus duopoly), engine makers, global distribution systems and, increasingly, loyalty programmes (which effectively monetise a bank-like consumer-finance relationship through co-branded credit cards) rather than by the airlines themselves, whose average net margins have historically trailed most other travel-value-chain participants. Regulation (bilateral air-service agreements, slot allocation, antitrust review of alliances/joint ventures, environmental rules) and macro conditions (regional currency volatility, GDP growth, oil prices) are both first-order determinants of profitability that sit outside management's control. On balance, this report classifies the Latin American commercial-aviation industry as **mature and consolidating but still growing faster than global aviation on average**, with a structurally constrained near-term supply backdrop that is currently a tailwind for incumbent pricing.

A2. What Does the Company Do?

LATAM sells seats and cargo capacity on scheduled flights. Passenger revenue (the large majority of the group's revenue) is earned across four broad route categories: domestic Brazil, domestic Spanish South America (Chile, Peru, Colombia, Ecuador), intra-regional international, and long-haul international (principally to North America, Europe and Oceania). Cargo revenue is earned by LATAM Cargo, which the group's own materials describe as the largest air-cargo operator group in the region, using a mix of dedicated freighters and belly space on passenger aircraft. Ancillary revenue (bags, seat selection, LATAM Pass co-branded card economics, ground handling for third parties) supplements the base fare. Distribution runs through the group's own digital channels, travel agencies and global distribution systems, with LATAM Pass acting as both a retention tool and, through its co-branded card partnerships, a source of higher-margin financial-services-adjacent revenue common to the modern airline model.

On the cost side, the largest single line is typically fuel, followed by aircraft ownership costs (a mix of finance leases, operating leases and owned aircraft depreciation, all IFRS 16-capitalised on the balance sheet), labour, airport/navigation/handling charges, maintenance, and sales/distribution costs. The operating model can be summarised as: passengers and cargo shippers → scheduled seat/cargo capacity across the five-hub domestic-plus-international network → passenger, cargo and ancillary/loyalty revenue → fuel, lease, labour and airport costs → operating profit → heavy, recurring fleet capital expenditure → free cash flow available for deleveraging, dividends and buybacks. The single most economically important lever in this chain is unit revenue (revenue per available seat-kilometre) relative to unit cost (cost per available seat-kilometre) — the "RASM-minus-CASM" spread standard across the airline industry — which management highlighted improved materially in FY2025 (adjusted operating margin +3.5 percentage points) even before the FY2026 fuel shock.

A3. Business / Relationship Network

LATAM Airlines Group

- Operating certificates: LATAM Airlines Chile, LATAM Brasil, LATAM Perú, LATAM Colombia, LATAM Ecuador
- Cargo affiliate: LATAM Cargo (Chile, Brasil, Colombia)
- Key suppliers: Airbus and Boeing (airframes: 294 Airbus / 57 Boeing in service at YE2025, 37 further deliveries expected through 2026); jet-fuel suppliers at each hub airport; engine/MRO providers
- Distribution/technology: global distribution systems, direct digital channels, LATAM Pass loyalty platform and co-branded card issuers
- Strategic shareholders and commercial partners: Delta Air Lines (10.57% equity stake plus commercial/codeshare cooperation on U.S.–Latin America routes) and Qatar Airways (10.56% equity stake plus long-haul network cooperation); both sit alongside the Cueto family (via Costa Verde/Bethia interests, historical controlling shareholders of predecessor LAN Airlines) in a joint shareholder pact that determines board composition and major strategic decisions
- Major customers: retail passengers and cargo shippers across Latin America, North America, Europe and Oceania; no single customer is individually material
- Principal competitors: Avianca/Abra Group (aligned with GOL), Copa Holdings, Azul, JetSMART, Sky Airline, plus the major U.S., European and Gulf network carriers on long-haul routes
- Regulators/exchanges: Chile's Comisión para el Mercado Financiero and Bolsa de Santiago; the U.S. SEC and NYSE (LTM, foreign private issuer, files Form 20-F/6-K)

The Delta and Qatar Airways relationships matter economically on two levels: as equity holders bound into a joint voting pact, they align a meaningful share of the register with LATAM's own strategic decisions (capital allocation, board appointments, fleet strategy); as commercial partners, they extend LATAM's effective network into North America, the Middle East and beyond through codeshare and joint-venture agreements that neither party could economically replicate alone in the near term.

A4. Competition

Table A4-1 — Selected Latin American and long-haul competitors

Carrier	What they sell	Geography	Scale (TTM revenue)	Major advantage	Major disadvantage
LATAM Airlines Group (LTM)	Full-service passenger + cargo	Chile/Brazil/Peru/Colombia/Ecuador hub network + long-haul	US\$15.9bn	Largest regional network and loyalty base; multi-hub diversification	USD cost base vs. partly local-currency revenue; capital-intensive fleet renewal
Copa Holdings (CPA)	Full-service passenger + cargo, "Hub of the Americas"	Panama City hub connecting the Americas	US\$4.0bn	Highly efficient single-hub connecting model; industry-leading margins	Single-hub geographic concentration; smaller absolute scale
Azul (AZUL)	Full-service + regional passenger	Brazil-focused domestic and regional	US\$20.2bn (BRL-heavy)	Dense Brazilian domestic network, many exclusive routes	Negative book equity; restructuring/BRL currency stress; high leverage
Avianca / Abra Group (private, aligned with GOL)	Full-service passenger + cargo	Colombia-centred, pan-regional under Abra	n/d (private)	Second-largest regional network; Abra alignment with GOL adds scale	History of Chapter 11 restructuring (both Avianca and GOL); integration risk
JetSMART / Sky Airline (private)	Ultra-low-cost domestic/regional	Chile, Argentina, Peru, Colombia	n/d (private)	Structurally lower cost base; price leadership on short-haul	Limited network breadth; thin balance sheets; no long-haul/cargo diversification
Delta, American, United, Air France-KLM, IAG, Qatar Airways	Global full-service network carriers	Long-haul routes to/from Latin America	n/d (varies)	Global scale, home-market strength, several are also LATAM partners/shareholders	Limited standalone intra-Latin-America presence; rely on LATAM's network via codeshare/JV

TTM revenue for LATAM, Copa and Azul per Alpha Vantage COMPANY_OVERVIEW (retrieved 18 Aug 2026); Avianca/Abra and JetSMART/Sky are private and not required to disclose comparable figures. Peers were selected because they compete directly with LATAM for Latin American passengers, cargo shippers, gates/slots, and (for Copa, Azul and Avianca) capital and equity-research coverage — not merely because they share a GICS industry code.

A5. Competitive Differences

Advantages. Network scale is LATAM's clearest structural advantage: five domestic home markets (Chile, Brazil, Peru, Colombia, Ecuador) stitched into one hub system give it connecting-traffic density that a single-country competitor cannot replicate, and its Southern-Hemisphere-largest scale gives it negotiating leverage with airports, fuel suppliers and aircraft lessors. LATAM Pass, at 54 million members, is a genuine switching-cost and data asset — loyalty programmes are increasingly the most profitable part of the airline model globally, and LATAM's is the largest in the region. Its shareholder pact with Delta and Qatar Airways provides both capital-markets credibility and long-haul network reach that would be prohibitively expensive to build organically. Regulatory air-operating certificates in five countries are a genuine barrier to a new entrant seeking LATAM's specific domestic footprint.

Disadvantages. The cost base is heavily exposed to jet fuel and USD-denominated aircraft costs, while a meaningful share of revenue is earned in depreciation-prone Latin American currencies — a structural mismatch that shows up directly in margin volatility (evident again in the 2026 fuel-cost spike referenced on the Q2 2026 earnings call). The balance sheet, while improving, was rebuilt from negative equity as recently as 2022 and still carries substantial lease-adjusted debt. Latin American short-haul markets are increasingly contested by lower-cost entrants (JetSMART, Sky, Viva) that can undercut LATAM on point-to-point domestic routes where its network-connectivity advantage matters less. The group also remains a price-taker on long-haul routes, where global alliance partners and larger carriers set much of the competitive dynamic.

On balance, this report assesses LATAM's moat as **moderate**: real and durable within its home Latin American network (scale, loyalty, regulatory certificates), but structurally weaker against global full-service carriers on long-haul routes and against low-cost entrants on short-haul domestic routes, and historically insufficient on its own to prevent balance-sheet distress during demand shocks (as the 2020 Chapter 11 filing demonstrated).

A6. Industry Trend

Latin American air travel demand has grown faster than the global average over the past decade on rising middle-class formation and still-low per-capita flight frequency versus North America/Europe, a trend industry data providers (OAG, Mordor Intelligence, Aviation Week) expect to continue through the 2020s. LATAM itself grew capacity 8.2% in FY2025 and carried a record 87.4 million passengers. Structural tailwinds include continued formalisation of the region's middle class and a global aircraft-delivery backlog that constrains competitors' ability to add capacity as fast as incumbents with existing fleets. Cyclical/temporary headwinds include the sharp jet-fuel price spike experienced across the industry in mid-2026 (linked in press reporting to Middle East conflict risk) and periodic Latin American currency and political volatility (e.g., market commentary around the August 2026 Colombian earthquake and broader regional risk events). This report classifies the industry trend as **structurally growing, presently supply-constrained (supportive of pricing), but cyclically exposed to fuel and currency shocks** that could reverse near-term margin gains without altering the longer-run growth trajectory.

A7. Management

Roberto Alvo — Chief Executive Officer. Alvo has led LATAM as CEO since 2020, having joined the group in 2013 and held senior commercial and strategic roles before his appointment; he led the group through its Chapter 11 restructuring (filed May 2020, emerged November 2022) and the subsequent return to profitability. **Ricardo Bottas Dourado — Chief Financial Officer.** Bottas was appointed CFO with more than two decades of financial-sector experience, succeeding Ramiro Alfonsín, who moved into the newly configured Chief Commercial Officer role after having served as LATAM's CFO since 2016. This is a management team, in other words, with direct institutional memory of the 2020–2022 restructuring rather than a newly installed outside team.

Capital allocation. Since returning to sustained profitability, management has prioritised, in order: fleet-renewal capital expenditure (capex roughly doubled from US\$796 million in FY2023 to US\$1,773 million in FY2025 as new-generation aircraft were delivered), deleveraging (net debt/EBITDA management's own adjusted metric fell to 1.5× at YE2025), and only then capital return — FY2025's US\$585 million of buybacks and US\$400 million extraordinary interim dividend followed, not preceded, the deleveraging. This report reads that sequencing as broadly aligned with shareholder interests: capital return has been funded from free cash flow after debt reduction, not from incremental borrowing. Management's FY2025 guidance (raised operating-margin outlook) and FY2026 in-year revision (fuel-outlook-driven upward guidance revision disclosed 4 August 2026) suggest a reasonable, if still short, track record of guidance-setting

since the post-bankruptcy relisting. Insider/founder alignment runs through the Cueto family's continuing stake and board presence under the shareholder pact rather than through direct large personal holdings by the CEO/CFO, which were not separately disclosed in the sources reviewed for this report.

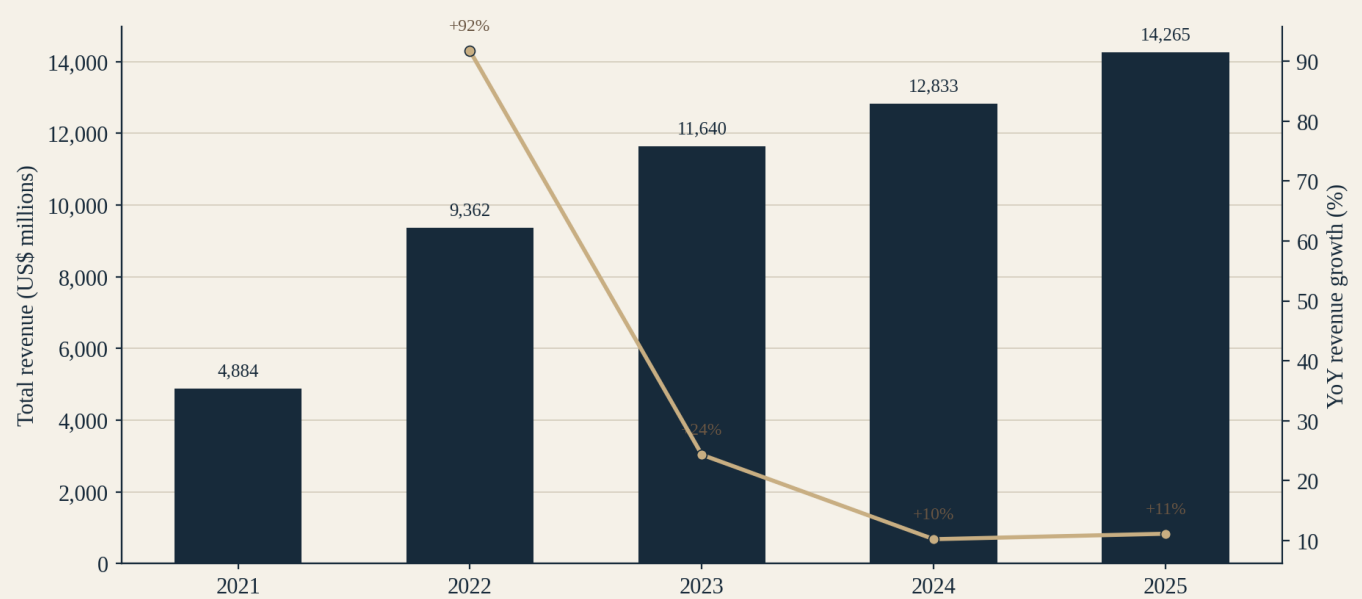
SECTION B

Financial Statements

All figures in this section are reported (per audited financial statements, sourced via Alpha Vantage's SEC-taxonomy-normalized fundamentals API and cross-checked against StockAnalysis.com/S&P Global Market Intelligence) or clearly labelled analyst calculations. Figures are in US\$ millions unless stated, reflecting LATAM's USD reporting currency under IFRS. Per-share metrics before FY2025 are not shown in trend form: a 2025 capital-optimisation transaction cancelled approximately 30.2 billion previously repurchased treasury shares, materially changing the share count and breaking comparability of EPS/book-value-per-share series spanning that transaction — a data-quality flag disclosed here per this report's data-quality standard rather than silently adjusted or estimated.

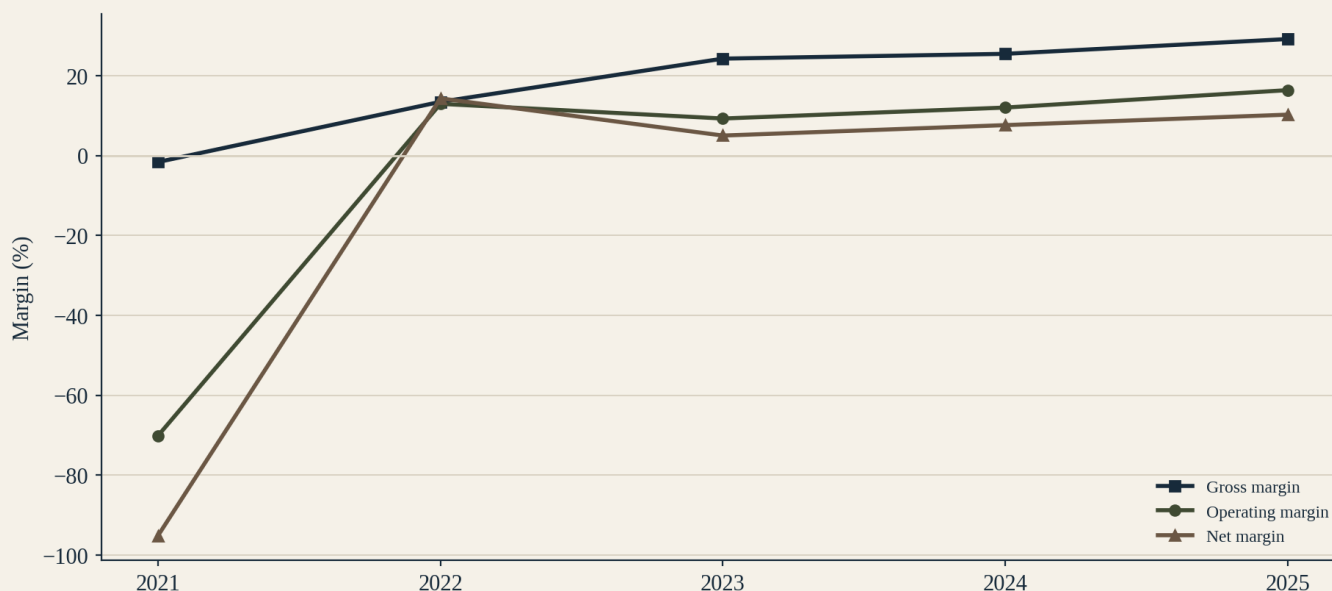
B1. Income Statement

LATAM Airlines Group — Revenue and Year-on-Year Growth, FY2021–FY2025



Source: Alpha Vantage (SEC-taxonomy-normalized filings data). Revenue per audited financial statements; excludes management's headline "total operating revenues" figure, which nets in other operating income.

LATAM Airlines Group — Profitability Margins, FY2021–FY2025



Source: Alpha Vantage (SEC-taxonomy-normalized filings data). Analyst calculation: margin = line item / total revenue.

Table B1-1 — Income statement summary, FY2021–FY2025 (US\$ million)

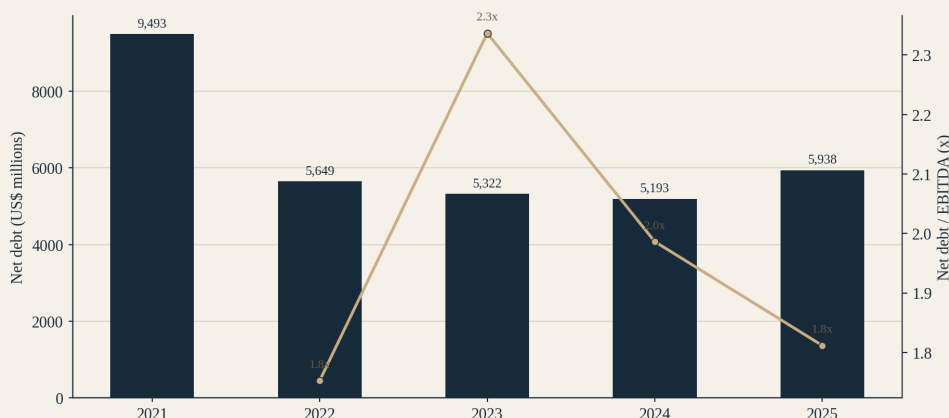
Metric	2021	2022	2023	2024	2025
Total revenue	4,884	9,363	11,641	12,833	14,265
Gross profit	(80)	1,259	2,824	3,267	4,160
Operating income	(3,426)	1,212	1,078	1,541	2,336
EBITDA (analyst-derived)	(2,347)	3,223	2,278	2,614	3,278
Net income	(4,647)	1,339	582	977	1,460
SG&A	439	576	683	824	870
Interest expense	806	912	683	821	720
Income tax expense	569	9	15	16	155
Net margin (%)	(95.2)	14.3	5.0	7.6	10.2

Revenue growth since the pandemic trough has been driven predominantly by **capacity restoration and yield/pricing improvement** rather than acquisitions (LATAM has made none of scale since the LAN-TAM merger) or currency (a headwind, given local-currency revenue translated to USD reporting). FY2022's unusually large positive net income against negative operating income reflects one-off fresh-start/reorganisation accounting gains recognised on Chapter 11 emergence, not underlying operating profitability — a clear case, per this report's standard, where reported net income diverges sharply from operating economics. Margins have expanded steadily and consistently since FY2022 (net margin

14.3% in FY2022 was inflated by the same one-off items; the cleaner trend is operating margin, which rose from break-even in FY2023 to 16.4% in FY2025), evidence of genuine operating leverage as capacity utilisation recovered ahead of the fixed cost base.

B2. Balance Sheet

LATAM Airlines Group — Net Debt and Leverage, FY2021–FY2025



Source: Alpha Vantage (SEC-taxonomy-normalized filings data). Net debt = total debt (incl. finance-lease liabilities) – cash; leverage uses AV-derived EBITDA. LATAM's own 'adjusted net leverage' (1.5x FY25, per 4Q25 release) uses a rent-adjusted EBITDAR denominator and is not directly comparable — see Section C1.

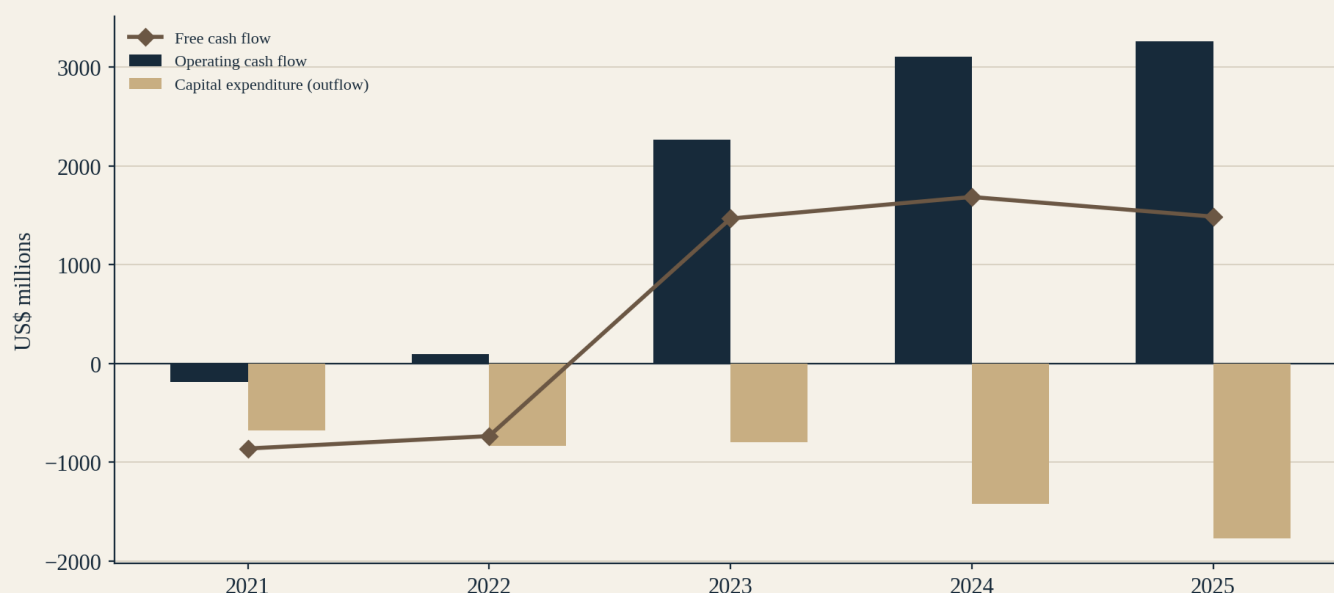
Table B2-1 — Balance sheet summary, FY2021–FY2025 (US\$ million)

Metric	2021	2022	2023	2024	2025
Total assets	13,292	13,211	14,667	15,253	17,641
Total liabilities	20,358	13,180	14,229	14,542	16,304
Shareholders' equity	(7,057)	42	450	723	1,346
Cash & equivalents	1,047	1,217	1,715	1,958	2,150
Total debt (incl. finance leases)	10,540	6,866	7,037	7,151	8,089
Net debt	9,493	5,649	5,322	5,193	5,938

Shareholders' equity was deeply negative through FY2021 (fresh-start accounting following the pandemic-era bankruptcy filing) and has been rebuilt to US\$1,346 million by FY2025 — still thin relative to total assets of US\$17.6 billion, meaning the balance sheet, while no longer distressed, has limited absorption capacity for a further large shock. Total debt rose in FY2025 (to US\$8,089 million from US\$7,151 million) as new-aircraft finance leases were added faster than legacy debt was repaid, but net debt has fallen from its FY2021 peak of US\$9,493 million even after this increase, because cash generation and cash balances have grown faster. This report flags goodwill/intangibles (not separately itemised here; intangible assets of roughly US\$1,130 million at YE2025 per Alpha Vantage, predominantly airport slots and route rights rather than goodwill from acquisitions) and the still-thin equity cushion as the two balance-sheet items warranting the closest ongoing monitoring, alongside continued growth in finance-lease liabilities as the fleet-renewal programme proceeds.

B3. Cash Flow Statement

LATAM Airlines Group — Operating Cash Flow, Capex and Free Cash Flow, FY2021–FY2025



Source: Alpha Vantage (SEC-taxonomy-normalized filings data). FCF = operating cash flow – capital expenditure (analyst calculation).

Table B3-1 — Cash flow summary, FY2021–FY2025 (US\$ million)

Metric	2021	2022	2023	2024	2025
Operating cash flow	(184)	97	2,264	3,106	3,260
Capital expenditure	676	831	796	1,420	1,773
Free cash flow	(860)	(734)	1,468	1,686	1,487
Dividends paid (cash basis)	0	0	0	175	605
Share buybacks (cash basis)	0	(549)*	0	0	585

*FY2022 figure reflects a net proceeds/repurchase item recorded during the Chapter 11 exit capital raise and is not a conventional open-market buyback; treat with caution.

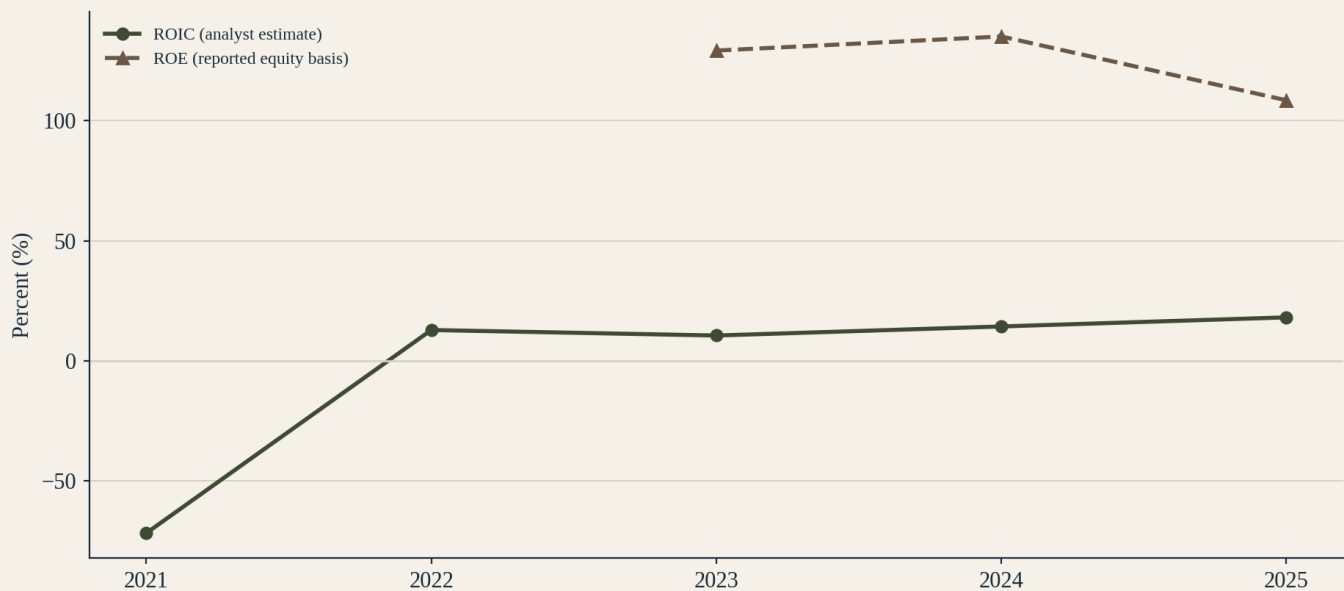
LATAM turned free-cash-flow positive in FY2023 and has generated a cumulative roughly US\$4.6 billion of free cash flow across FY2023–FY2025 even as capital expenditure nearly doubled to fund fleet renewal — a clear case where cash generation has outpaced accounting net income in the strength of the underlying trend (FY2025 OCF of US\$3,260 million was more than double reported net income of US\$1,460 million once depreciation, amortisation and working-capital effects are added back). Management began returning capital to shareholders only after this cash generation was established: the first post-restructuring ordinary and extraordinary dividends and buybacks all occurred in FY2024–FY2025, funded from free cash flow rather than incremental borrowing, which this report reads as a disciplined and conservative approach to capital return given the balance sheet's still-recent history of distress.

SECTION C

Evaluation

C1. Financial & Operating Metrics

LATAM Airlines Group — ROIC and ROE, FY2021–FY2025



Source: analyst calculation from Alpha Vantage data. ROIC = NOPAT (EBIT × (1–27% assumed statutory tax)) / (total debt + equity).
ROE distorted through 2022 by fresh-start/negative-equity accounting following the Nov-2022 Chapter 11 exit; shown only where equity is not near-zero/negative.

Table C1-1 — Key ratios, FY2023–FY2025 and TTM

Ratio	FY2023	FY2024	FY2025	TTM (to 2Q26)
Gross margin	24.3%	25.5%	29.2%	n/a†
Operating margin	9.3%	12.0%	16.4%	5.3%‡
Net margin	5.0%	7.6%	10.2%	9.9%
ROIC (analyst estimate)	10.3%	14.0%	18.1%	n/a†
ROE (reported equity basis)	129%¶	135%¶	108%¶	108%
Net debt / EBITDA (analyst-derived EBITDA)	2.34x	1.99x	1.81x	n/a†
Adjusted net leverage (company metric, EBITDAR-based)	n/d	n/d	1.5x	n/d
FCF margin	12.6%	13.1%	10.4%	n/a†

† Not recalculated on a TTM basis in this report given the additional quarterly filings this would require beyond the two most recent quarters retrieved; annual figures are the reliable basis for these ratios. ‡ TTM operating margin per Alpha Vantage COMPANY_OVERVIEW reflects the depressed 2Q26 quarter, in which management cited an approximately US\$700 million fuel-cost surge; see catalysts/risks below. ¶ ROE

is mechanically inflated by a still-thin absolute equity base (US\$1,346m at YE2025) rebuilt only since 2023 from a negative starting point; it should be read alongside ROIC, not in isolation, and is expected to normalise toward more conventional levels as retained earnings continue to accumulate.

ROIC has risen steadily from 10.3% in FY2023 to 18.1% in FY2025 on the analyst methodology used here (NOPAT on an assumed 27% tax rate, divided by total debt plus equity), comfortably above this report's assumed cost of capital of approximately 9.5% (Section C3) — evidence of genuine value creation on invested capital, not merely revenue growth. Leverage (net debt/EBITDA) has fallen from 2.34× to 1.81× over the same period even as absolute debt grew in FY2025, because EBITDA grew faster; this is the clearest quantitative support for management's stated deleveraging priority.

C2. Risks

Table C2-1 — Structured risk assessment

Category	Risk	Probability	Impact
Financial	Jet-fuel price spikes against partly local-currency revenue (evident again in 2Q26, ~US\$700m cost surge)	High	High
Macro	Latin American currency depreciation (BRL, CLP, COP, PEN) compressing USD-translated revenue against USD costs	Medium-High	High
Technological/ supply chain	Boeing/Airbus delivery delays affecting fleet-renewal timing and cost	Medium-High	Medium
Competitive	ULCC entrants (JetSMART, Sky, Viva) pressuring short-haul domestic pricing	Medium	Medium
Financial	Re-leveraging if capex growth outpaces free cash flow generation	Low-Medium	High
Regulatory/ geopolitical	Regional political instability, natural disasters (e.g., August 2026 Colombia earthquake) disrupting demand or operations	Medium	Medium
Valuation	Multiple re-rating if the market continues to apply a bankruptcy-history discount despite improved fundamentals, or de-rating if growth/margin normalise downward	Medium	Medium
Business	Cybersecurity / IT-systems disruption (industry-wide exposure, e.g. reservation-system outages)	Low-Medium	Medium

The three risks most capable of permanently impairing shareholder value, in this report's assessment, are: (1) a sustained, structural (not merely cyclical) jet-fuel repricing that outlasts LATAM's ability to pass costs through in fare increases, given the region's price-sensitive leisure demand base; (2) a severe, multi-currency Latin American macro/FX shock that simultaneously depresses local-currency revenue and raises the local-currency cost of servicing USD-denominated debt and leases — the closest analogue to the conditions that contributed to the 2020 Chapter 11 filing; and (3) a return to debt-funded (rather than cash-funded) capital return or fleet growth that reverses the FY2023–FY2025 deleveraging trend before the equity base is more durably rebuilt.

C3. Valuation

Table C3-1 — Valuation multiples (analyst-calculated for consistency; report date 18 Aug 2026)

Multiple	LATAM (LTM)	Copa Holdings (CPA)	Azul (AZUL)
Price / Earnings (TTM)	9.7x	8.9x	n.m. (negative EPS)
Forward P/E	10.2x	9.2x	47.4x
EV / Revenue (TTM)	1.35x	1.87x	1.73x
EV / EBITDA (TTM)	5.8x§	9.0x	22.4x
P / FCF (FY2025)	10.1x	n/d	n/d
Dividend yield (trailing ordinary)	1.8%	5.1%	n/a

§ Analyst-calculated using enterprise value (market cap + net debt as of 30 Jun 2026) over Alpha Vantage TTM EBITDA, to keep numerator and denominator on a consistent period basis; Alpha Vantage's own displayed EV/EBITDA (9.4x) is inconsistent with its own displayed EV/Revenue figure for the same company and quarter and was not used, per this report's data-quality standard of checking that valuation ratios use consistent inputs. Source data: Alpha Vantage COMPANY_OVERVIEW, retrieved 18 Aug 2026, cross-referenced against StockAnalysis.com (S&P Global Market Intelligence).

LATAM trades at a discount to Copa on EV/EBITDA and at a smaller discount on forward P/E, despite comparable or better trailing profitability trends and a larger, more diversified network; Copa's premium plausibly reflects its structurally higher margins (a single efficient hub versus LATAM's federation of national operating certificates) and cleaner, less bankruptcy-adjacent balance-sheet history. Azul's multiples are not economically comparable on a like-for-like basis given negative book equity and ongoing balance-sheet restructuring, and are shown for completeness rather than as a valuation anchor.

Discounted cash flow

This report builds an indicative five-year DCF as a cross-check, not a precise intrinsic-value estimate. Assumptions: FY2025 revenue of US\$14,265 million as the base; revenue growth of 9%/7%/6%/5%/4% over the five forecast years (moderating from FY2025's 11.2% actual growth and FY2025's 8.2% capacity growth, consistent with a supply-constrained but still-expanding industry); FCF margin expanding from 9.5% to 11.5% over the same period (versus 10.4% actually achieved in FY2025, reflecting capex normalisation as the current fleet-renewal cycle matures); a weighted average cost of capital of approximately 9.5% (risk-free rate ~4.5%, per Alpha Vantage 10-year U.S. Treasury data for July 2026, plus an equity risk premium of 5.5% and a Latin American country-risk uplift of roughly 1.5%, levered beta 0.89, blended against an after-tax cost of debt of approximately 6.5% at a 35%/65% debt/equity capital-structure weighting); and a terminal growth rate of 2.5%. Net debt of US\$6,374 million (30 June 2026) and 287.1 million shares outstanding are used to bridge enterprise value to a per-share figure.

Table C3-2 — DCF sensitivity: implied value per share (US\$) by WACC and terminal growth

WACC \ Terminal growth	1.5%	2.5%	3.5%
8.5%	77.1	90.4	109.0
9.5% (base case)	64.2	73.8	86.6

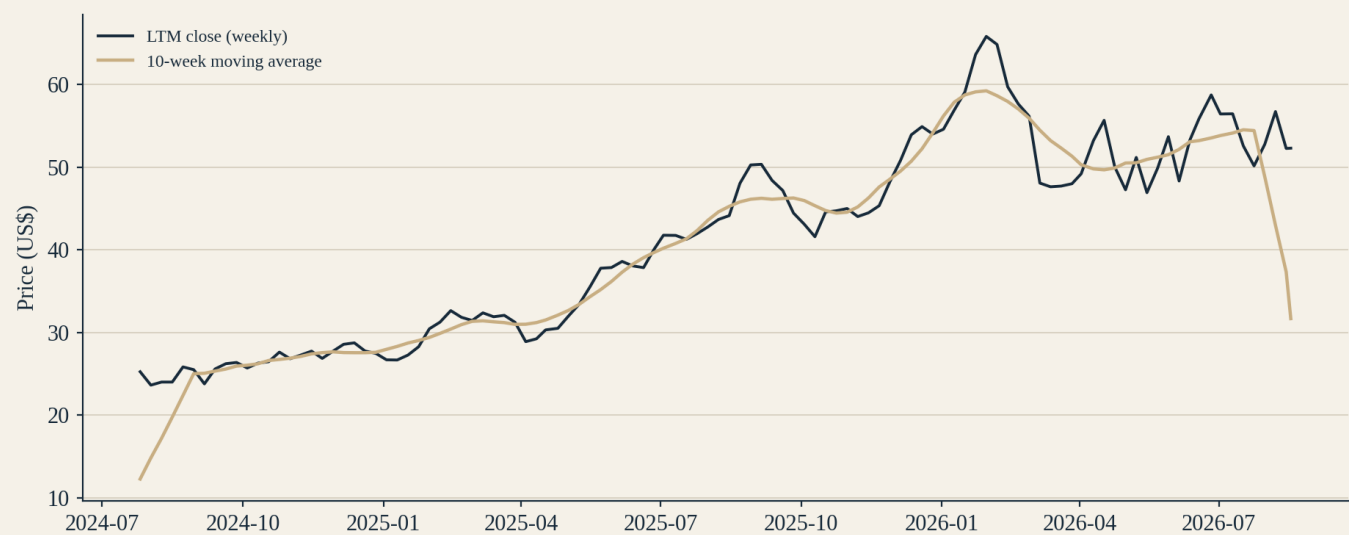
WACC \ Terminal growth	1.5%	2.5%	3.5%
10.5%	54.2	61.4	70.7

The base-case output (WACC 9.5%, terminal growth 2.5%) is approximately US\$73.8 per share, close to and broadly corroborating the sell-side analyst consensus target of US\$72.94 cited by StockAnalysis.com, and above the 17 August 2026 close of US\$52.29. The full sensitivity range spans roughly US\$54 to US\$109, and the current market price sits toward the conservative (higher-WACC, lower-terminal-growth) end of that range — this report reads that as the market pricing in continued execution risk, fuel-cost volatility and the industry's cyclical/bankruptcy history, rather than assuming a valuation error requiring correction. This DCF should be read as a range exercise illustrating which assumptions justify which prices, not as a single-point intrinsic-value claim.

What does the current price require? Working backward, the 17 August 2026 price of US\$52.29 is broadly consistent with the higher-WACC/lower-growth corner of the sensitivity table above — i.e., revenue growth moderating toward the lower end of this report's assumed range, FCF margin holding near FY2025's actual 10.4% rather than expanding further, and a discount rate that continues to embed meaningful Latin American country and airline-industry risk. Relative to the fundamentals actually delivered in FY2023–FY2025 (accelerating margins, falling leverage, resumed capital return), this report characterises the expectations embedded in the current price as **conservative to reasonable** rather than optimistic.

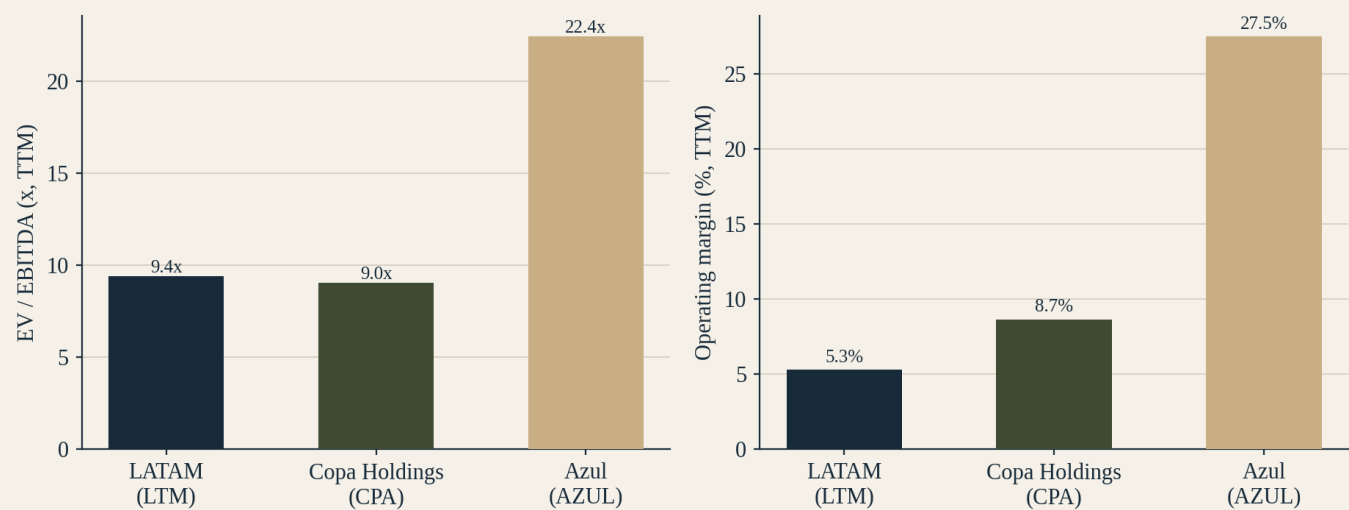
C4. Capital Market / Stock Analysis

LATAM Airlines Group (NYSE: LTM) — Share Price, 5-Year



Source: Alpha Vantage TIME_SERIES_WEEKLY_ADJUSTED, weekly closes; chart built by analyst (not a broker/exchange screenshot). Data through 17 Aug 2026.

Peer Comparison — Valuation and Profitability (TTM)



Source: Alpha Vantage COMPANY_OVERVIEW, trailing twelve months, retrieved 18 Aug 2026. Azul's TTM operating margin/EV-EBITDA reflect a company under BRL devaluation and restructuring stress; net income and book value are negative — see Section A4/C3 for peer-selection rationale.

Table C4-1 — Price performance and trading statistics

Metric	Value
Close, 17 Aug 2026 (latest completed session)	US\$52.29
1-day change	+0.06%
Close, nearest weekly obs. ~1 month earlier (17 Jul 2026)	US\$52.56

Metric	Value
FY2025 year-end close (26 Dec 2025)	US\$54.00
FY2024 year-end close (27 Dec 2024)	US\$27.47
52-week range	US\$40.22 – US\$70.24
Beta (vs. broad market)	0.89
Analyst consensus / target	Strong Buy / US\$72.94 (10 analysts)

Price series sourced from Alpha Vantage TIME_SERIES_WEEKLY_ADJUSTED (weekly closes; a true daily series could not be retrieved this session as the daily-adjusted endpoint returned a premium-tier rate-limit error, disclosed here rather than silently substituted). The one-month reference point above is therefore the nearest available weekly observation, not an exact one-month daily figure.

The stock has appreciated approximately 90% over the twelve months to 17 August 2026 (from a 52-week low of US\$40.22, reached amid the mid-2026 fuel-cost shock, back toward its 52-week high of US\$70.24 reached earlier in the period) — a pattern consistent with a name that sold off sharply on the fuel-cost surge disclosed around the Q2 2026 earnings call before partially recovering as management raised full-year guidance on 4 August 2026 citing an improving fuel outlook. The FY2024-to-FY2025 near-doubling in share price (US\$27.47 to US\$54.00) coincided with, and this report reads as substantially explained by, the FY2025 operating-margin expansion, return to sustained free cash flow, and the 2025 capital-optimisation/share-cancellation transaction, rather than a re-rating on unchanged fundamentals. A beta of 0.89 indicates the stock has historically been slightly less volatile than the broad market on a systematic basis, which may understate airline-specific idiosyncratic volatility (fuel, currency, single-name news) evident in the wide 52-week range. The current price sits above both the 50-day (US\$53.92) and 200-day (US\$52.82) moving averages by only a narrow margin, indicating the stock is trading close to its recent trend rather than in a strong directional breakout at the report date.

SECTION D

Investment Thesis

Bull Case

- Jet-fuel prices normalise from the 2026 spike, restoring the margin trajectory seen through FY2025.
- Structural industry capacity constraints (Boeing/Airbus backlog through 2031–34) sustain pricing power for an incumbent that already holds its fleet.
- Continued deleveraging and an equity base rebuilt toward a size that supports sustained capital return without re-leveraging.
- Multiple re-rates toward full-service global peers as the post-bankruptcy stigma discount narrows with a longer track record of profitability.

Base Case

- Revenue growth moderates toward high-single digits as capacity growth normalises from FY2025's 8.2%.
- Margins remain volatile around fuel prices but average out near FY2025 levels over a full cycle.
- Deleveraging continues gradually; capital return persists at a modest, cash-funded pace.
- The stock trades roughly in line with this report's base-case DCF output, i.e., moderately above the current price.

Bear Case

- A sustained fuel-price shock or Latin American currency crisis compresses margins for an extended period.
- ULCC competition erodes short-haul domestic yields faster than network-connectivity advantages can offset.
- Fleet-renewal capex outpaces free cash flow, halting or reversing deleveraging.
- The market re-applies a bankruptcy-history discount, keeping the multiple structurally below full-service peers regardless of fundamentals.

Catalysts

Quarterly earnings and guidance updates (next scheduled disclosure per historical cadence, early November 2026 for 3Q26); further fuel-price normalisation or shocks; continued Boeing/Airbus delivery execution against the 37 aircraft expected through the remainder of 2026; further share buybacks or dividend announcements as free cash flow accumulates; potential changes to the Delta/Qatar Airways/Cueto shareholder pact; and regional macro/political developments (currency, elections, natural disasters) across LATAM's five home markets.

Things to Monitor

Table D-1 — Monitoring list

Metric / Event	Why it matters	Positive signal	Negative signal
Jet-fuel cost per available seat-kilometre	Largest single cost line; direct margin driver	Declining toward FY2025 levels	Sustained elevation above 2Q26 levels
Net debt / EBITDA and adjusted net leverage	Tests whether deleveraging trend continues	Continued decline toward <1.5x	Reversal above FY2025 levels
Capacity growth (ASK) vs. industry backlog constraints	Tests pricing-power thesis	Disciplined, below-industry-backlog growth	Aggressive capacity additions pressuring yields

Metric / Event	Why it matters	Positive signal	Negative signal
LATAM Pass membership and co-brand economics	Loyalty is the highest-margin, stickiest revenue source	Continued double-digit member growth	Stalling growth or reduced co-brand economics
Share buyback/dividend cadence	Signals management confidence and cash generation	Continued cash-funded capital return	Suspension or debt-funded capital return

SECTION E

Final Investment Framework

<i>Business quality</i>	Moderate-to-good. Dominant Latin American network scale and loyalty base, but airlines remain structurally capital-intensive and cyclical.
<i>Financial quality</i>	Improving materially. Three consecutive years of net income and free cash flow since bankruptcy exit; ROIC (18.1% FY2025) now comfortably above estimated cost of capital.
<i>Competitive position</i>	Strong regionally (largest network/loyalty base), weaker on long-haul (price-taker vs. global alliances) and against short-haul ULCC entrants.
<i>Management</i>	Restructuring-tested team (Alvo since 2020) with a disciplined, cash-funded capital-allocation sequence: capex, then deleveraging, then capital return.
<i>Industry</i>	Structurally growing but supply-constrained through the early 2030s; currently supportive of incumbent pricing power.
<i>Valuation</i>	Undemanding on trailing multiples versus history and full-service peers; base-case DCF (~US\$74/share) sits above the current price, with the current price consistent with the more conservative end of this report's sensitivity range.
<i>Technical / market structure</i>	Below-market beta (0.89); price roughly 90% above its 12-month low but trading close to its 50-/200-day moving averages, not in a strong directional breakout.
<i>Principal risk</i>	A sustained jet-fuel and/or Latin American currency shock that outlasts the balance sheet's still-recently-rebuilt equity cushion.
<i>Principal catalyst</i>	Continued fuel-cost normalisation and execution of the current fleet-renewal/deleveraging programme through FY2026–FY2027.
<i>Key variable</i>	The RASM-minus-CASM spread (unit revenue less unit cost), and specifically the pace at which fuel-cost pass-through is achieved in fares.

THESIS INVALIDATION

The investment thesis set out above would become materially weaker if: net debt/EBITDA (analyst-derived) rises back above its FY2021–FY2022 range of roughly 2.3–2.5x; free cash flow turns negative for two or more consecutive quarters outside of a one-off capex event already flagged to the market; management resumes debt-funded (rather than cash-funded) share buybacks or dividends; or a sustained jet-fuel price level materially above the mid-2026 spike persists for more than two to three quarters without evidence of fare pass-through.

SECTION F

Data Table

Category	Metric	Current	Prior Year	3Y/5Y Trend
Market	Market cap (17 Aug 2026 / 27 Dec 2024)	US\$15.01bn	~US\$7.9bn†	Rising
Market	Enterprise value (30 Jun 2026 net debt)	US\$21.39bn	n/d	n/a
Market	Share price	US\$52.29	US\$27.47 (FY24 YE)	+90% (12mo)
Growth	Revenue growth (FY2025 vs FY2024)	+11.2%	+10.2% (FY24 vs FY23)	Decelerating from post-COVID recovery
Profitability	Gross margin	29.2%	25.5%	Expanding
Profitability	Operating margin	16.4%	12.0%	Expanding
Profitability	Net margin	10.2%	7.6%	Expanding
Profitability	ROIC (analyst estimate)	18.1%	14.0%	Rising
Cash Flow	Operating cash flow	US\$3,260m	US\$3,106m	Rising
Cash Flow	Free cash flow	US\$1,487m	US\$1,686m	Positive since FY2023, elevated capex in FY25
Leverage	Net debt / EBITDA (analyst-derived)	1.81x	1.99x	Falling
Valuation	P/E (TTM)	9.7x	n/d	n/a
Valuation	EV/EBITDA (analyst-derived)	5.8x	n/d	n/a
Valuation	P/FCF (FY2025)	10.1x	n/d	n/a
Market	Beta	0.89	n/d	n/a
Market	52-week range	US\$40.22–70.24	n/d	n/a

† FY2024 year-end market capitalisation is an approximation using the FY2024 closing price (US\$27.47) against the current share count; the precise FY2024 share count is not directly comparable given the 2025 capital-optimisation transaction that cancelled roughly 30.2 billion treasury shares, so this figure should be read as indicative of price appreciation rather than a precise historical market-cap figure. n/d = not directly derivable from sources reviewed within this session; n/a = not applicable at this comparison basis.

SECTION G

Sources & Methodology

Primary Sources

LATAM Airlines Group S.A. (Investor Relations) — "LATAM Airlines Group closes 2025 with net income of US\$1.5 billion and more than 87 million passengers transported," press release, 3 February 2026. <https://ir.latam.com/English/news/press-releases/news-details/2026/LATAM-Airlines-Group-closes-2025-with-net-income-of-US1-5-billion-and-more-than-87-million-passengers-transported/default.aspx> — fetched and rendered in full during this session; source for FY2025 revenue, net income, adjusted EBITDAR/operating margin, capital structure, dividends, buybacks, passenger/cargo volumes, LATAM Pass membership, and management quote.

U.S. Securities and Exchange Commission (EDGAR) — LATAM Airlines Group S.A., Form 20-F, fiscal year 2025. <https://www.sec.gov/Archives/edgar/data/1047716/000104771626000046/lm-20251231.htm> — fetched and confirmed accessible during this session (full-text annual report); source for fleet composition, risk-factor language, and corporate structure.

Secondary Sources

StockAnalysis.com (data via S&P Global Market Intelligence) — LATAM Airlines Group (LTM) overview. <https://stockanalysis.com/stocks/lm/> — fetched and rendered in full during this session; source for current price/valuation snapshot, employee count, destinations/fleet description, analyst consensus and price target.

StockAnalysis.com (data via S&P Global Market Intelligence) — Copa Holdings (CPA) overview. <https://stockanalysis.com/stocks/cpa/> — fetched and rendered in full during this session; source for peer comparison cross-check.

Reuters — "LATAM Airlines lifts 2026 earnings outlook as fuel price pressure eases," 4 August 2026, cited via search summary; corroborated by the LATAM 4Q25 press release and Q2 2026 earnings-call reporting referenced above.

Rio Times / trade-press aggregation — LATAM regional capacity share (~21% of Latin American capacity) and Latin American airline competitive landscape, cited via search summary of OAG-sourced industry commentary.

Market Data

Alpha Vantage — Fundamental and market data API (COMPANY_OVERVIEW, GLOBAL_QUOTE, INCOME_STATEMENT, BALANCE_SHEET, CASH_FLOW, EARNINGS, TIME_SERIES_WEEKLY_ADJUSTED, TREASURY_YIELD), retrieved 18 August 2026, for LTM, CPA and AZUL. Provider homepage: <https://www.alphavantage.co/> (fetched and confirmed accessible during this session). Underlying data is SEC-taxonomy-normalized filings data, cross-referenced against StockAnalysis.com where noted. TIME_SERIES_DAILY_ADJUSTED (full history) returned a premium-tier rate-limit error during this session and was not available; weekly-adjusted price data was used instead and this substitution is disclosed wherever daily-basis figures might otherwise have been expected.

Calculations

The following are analyst calculations, not directly reported figures: EBITDA (derived from EBIT plus D&A per Alpha Vantage cash-flow data), all margin percentages, ROIC (NOPAT at an assumed 27% tax rate divided by total debt plus equity), ROE where shown, net debt and net-debt/EBITDA, free cash flow (operating cash flow less capital expenditure), EV/EBITDA and EV/Revenue (using enterprise value = market capitalisation plus net debt as of 30 June 2026), P/FCF

and EV/FCF (on an FY2025 basis, disclosed as such given TTM free cash flow could not be fully reconstructed from the quarterly data retrieved), and the discounted-cash-flow valuation range in Section C3, including its explicit WACC, growth and margin assumptions.

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